

Peer Selection Methodology :

CCL Products (India) Ltd. Is a global, export-oriented, specialised manufacturing company with predominantly B2B customers, customer-specific products, direct distribution, strong growth, high margins and moderate leverage. For Peer selection exercise we have screened many Indian Companies for compatibility in the following Characteristics with CCL:

Business characteristics:

- Geography — India + meaningful international/export exposure
- Product — manufactured, customised/technical products rather than pure commodities
- Customer — predominantly B2B / institutional / OEM / private-label customers
- Distribution — direct B2B/institutional/export channel rather than predominantly retail

Financial characteristics:

- Size
- Growth
- Margins
- Seasonality/cyclicality
- Leverage / credit quality

Upon comparing various Indian Companies across many sector/subsectors, we have selected the following Peer Companies to value CCL:

1. Galaxy Surfactants:

Galaxy Surfactants is a leading surfactant manufacturer and speciality care chemical manufacturer and trusted surfactant chemical supplier globally. It is a manufacturer of specialised products that sells predominantly to B2B Customers. Galaxy Surfactants supplies to global brands, it exports, it has customised/technical formulations and direct industrial/customer relationships. Galaxy operates across 95+ countries, serves more than 1,500 customers, and manufactures specialty surfactants/ingredients.

Business-characteristic comparison:

Characteristic	CCL	Galaxy
Geography	Global	Global
Product	Customised coffee products	Speciality ingredients
Customer	B2B/private-label	B2B/global brands
Distribution	Direct/export	Direct/export
Sector	Coffee	Chemicals

Financial comparison :

Characteristic	CCL	Galaxy
Revenue	₹3,106 Cr	₹4,224 Cr
Growth	17%	Moderate
EBITDA margin	17.9%	12.1%
D/E	0.92x	0.06x
Export	High	High

B2B	~90%	Very high
Seasonality	Moderate	Moderate

The business-model similarity is excellent making it a very strong peer company for CCL even though Galaxy is substantially less leveraged than CCL.

2. Fine Organic Industries:

Fine Organic Industries is a leading Indian manufacturer and global supplier of oleochemical-based specialty additives derived from natural plant-based oils and renewable sources. It has 510+ products, which means its business is fundamentally based on specialised, customised manufacturing rather than commodity manufacturing.

Fine Organic Industries Ltd:

- manufacture specialised products.
- serve industrial/B2B customers.
- have significant export exposure.
- have multiple international customers.
- manufacture products to customer specifications.
- operates through direct B2B channels.
- have relatively high margins.
- is asset-intensive manufacturing business.

For Financial characteristics Comparison with CCL :

- It has size similar to CCL
- It has EBITDA Margin a little higher than CCL
- Lower Leverage than CCL
- Strong Export
- Somewhat different Growth dynamics.

As it has very similar business model to CCL and similar size with strong export, B2B Customers and high margins, it makes a very good choice for a Peer company.

3. Syrma SGS Technology:

Syrma SGS Technology operates as a technology-focused electronics manufacturing services (EMS) and original design manufacturing (ODM) provider, blending turnkey manufacturing with in-house R&D and proprietary product engineering. **Its business model is manufacturing products based on customer design/ requirements which is conceptually quite close to CCL's Business Model.**

Business comparison:

Characteristic	CCL	Syrma
Geography	India and global	India and global
Product	Customer-specific coffee	Customer-specific electronics
Customer	B2B/private label	B2B/OEM
Distribution	Direct	Direct
Export	High	Significant
Retail dependence	Low	Low

Financial comparison with CCL:

Characteristic	CCL	Syrma
Revenue	₹3,106 Cr	₹3,836 Cr
Growth	17%	19%
EBITDA margin	17.9%	8.6%
B2B	~90%	Very high
Export	High	~22%
Leverage	Moderate	Moderate
Seasonality	Moderate	Moderate

The business model is excellent, but the margin gap is significant. Weighing various Characteristic, we can include Syrma as a comparable Peer Company to CCL.

4. Neuland Laboratories:

Neuland Laboratories operates as a global Active Pharmaceutical Ingredient (API) and Contract Development and Manufacturing Organization (CDMO) with a dual-segment business model split between Generic Drug Substances (GDS) and Custom Manufacturing Solutions (CMS). Neuland manufactures specialised products for pharmaceutical customers across globe as per regulatory/customer specifications products with long-term contracts. That is structurally quite close to CCL's manufacturing model.

Business comparison :

Characteristic	CCL	Neuland
Global customers	Yes	Yes
B2B	Very high	Very high
Customised manufacturing	Yes	Yes
Direct customers	Yes	Yes
Export	High	Very high
Private label/OEM-type relationship	Yes	CDMO
Retail dependence	Low	Very low

When compared for financial similarity we have found that Neuland is much smaller and its margins can be considerably higher. But from a customer/manufacturing/export business model, it is excellent to be kept as a peer company.

5. Tata Consumer products :

Tata Consumer is much larger and more diversified than CCL, so it isn't a perfect pure-play comparable. But it has an important similarity: **B2B coffee manufacturing and international soluble-coffee operations**. Tata Consumer is much more diversified and much more consumer-brand oriented than CCL.

Business comparison :

Factor	CCL	Tata Consumer
India	Major	Major
International	Very high	High
B2B	~90%	Much lower

Distribution	B2B/export	Retail/modern trade/e-commerce
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Financial comparison :

Factor	CCL	Tata Consumer
Revenue	₹3,106 Cr	₹17,618 Cr
Growth	~17%	~16%
EBITDA margin	17.9%	14.2%
Size	Mid-cap	Large-cap

The **growth and margins are reasonably close**, which makes Tata Consumer more useful peer company than its business-model difference initially suggests.